

The Hormuz Warning



The two-week ceasefire in West Asia may offer a brief respite, but it would be dangerous to mistake this fragile calm for lasting stability in the region. The threat of a prolonged blockade of the Strait of Hormuz may have receded, yet the crisis has delivered a harsh reminder: India's dependence on imported crude oil and gas is acute, structural, and likely to remain so unless long-term reforms are undertaken, including a more liberal policy framework, streamlined exploration rules, and stronger incentives for private players.

The shock of the past month has been extraordinary. Perhaps no one anticipated that a supply disruption through one of the world's most critical maritime chokepoints would trigger such a severe supply crunch.

For India, the past month has been a brutal lesson in the fragility of energy security. To its credit, the Union government has weathered the storm with resilience. Deft diplomacy has ensured that at least some cargoes passed through Hormuz, while renewed purchases of Russian and Venezuelan crude, among others, have helped plug the gap somewhat.

But that should not obscure the larger truth: the shock has demonstrated that India's energy security rests on a precarious foundation—one that is vulnerable not only to price volatility, but to physical disruption itself.

Over the years, as the economy has grown, so too has India's dependence on imported crude oil and gas.

To some extent, geography has dealt India a difficult hand; the subcontinent lacks the prolific reserves that have made energy exporters of other nations. India cannot wish hydrocarbons into existence.

Yet that alone does not explain the present predicament.

As the cover story by *Richa Sharma* details, domestic exploration and production have lagged far behind potential. Private and foreign investors, whose capital and technology would be critical to unlocking difficult reserves, have shunned India's upstream sector. Policy uncertainty, regulatory complexity, retrospective taxation, pricing and legal disputes, weak contract enforcement, and slow clearances have combined to make oil and gas exploration in India deeply unattractive.

The result is stark: while India is the fourth-largest refiner in the world, it has failed to find and produce more of its own oil and gas.

India's strategic petroleum reserve programme, first proposed in 1998 under the Vajpayee government in response to the 1990–91 Gulf War, has progressed at a snail's pace and remains modest relative to the needs of an economy of India's size and aspiration.

The ceasefire has stripped away illusions and exposed the costs of policy drift and strategic under-preparedness.

If there is one lesson India can draw from the past month, it is that country's energy security cannot be treated as a secondary priority in an increasingly unstable world. Much more needs to be done. And much faster. **BT**

Siddharth

siddharth.zarabi@businesstoday.in
@sazarabi

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● Editorial Office: India Today Mediaplex, FC 8, Sector 16/A, Film City, Noida-201301;
Tel: 0120-4807100; Fax: 0120-4807150 ● Advertising Office (Gurgaon): A1-A2, Enkay Centre,
Ground Floor, V.N. Commercial Complex, Udyog Vihar, Phase 5, Gurgaon-122001;
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